

Circular NR-05 — Operational Resilience — New Important Business Services Framework

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Effective Date:	01 Mar 2026	Response Deadline:	31 Oct 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. New Framework

This circular introduces a new operational resilience framework requiring firms to identify Important Business Services (IBS), set Impact Tolerances for each, and demonstrate the ability to remain within those tolerances during severe but plausible disruptions. This replaces the previous business continuity guidance which is hereby revoked.

2. Important Business Services

Firms must identify all IBS — defined as services whose disruption would cause intolerable harm to consumers or market stability. Typical IBS include retail payments, mortgage servicing, custody and clearing. A minimum of 5 IBS must be identified; larger firms are expected to identify 15-30.

3. Impact Tolerances

For each IBS, firms must set a maximum tolerable downtime expressed as: duration (e.g. 4 hours), volume of customers impacted, and financial loss threshold. Impact tolerances must be approved by the Board and submitted to the Authority by 31 Oct 2025.

4. Testing

From 1 Mar 2026, firms must conduct annual scenario testing demonstrating they can remain within Impact Tolerances. Scenarios must include cyber attack, data centre failure and key person dependencies. Testing results must be reported to the Authority within 60 days.